

m1n3



Bitcoin Mining's
Capital Market

Abstract

Bitcoin mining is a \$20B+ industry locked behind hardware, infrastructure, and capital barriers that exclude 99% of potential participants.

Today, miners have no liquid exit. Speculators have no entry point. And existing tokenized hashrate products are broken by design — static supply in a network of ever-growing difficulty means guaranteed dilution.

m1n3 fixes this. By bringing exchange-grade liquidity to mining through elastic, on-chain verified tokenized hashrate, we open Bitcoin's most profitable layer to anyone — and give miners a real-time secondary market to monetize their work.

The Bitcoin mining industry has never had a proper financial market. M1n3 builds it.

Current Approach

Every mining pool in existence is an unsecured IOU.

It doesn't matter whether it's Foundry, AntPool, or a hashrate token on-chain — the structure is the same. The pool operator is the sole observer of submitted work, the sole issuer of rewards, and the sole custodian of payouts. There is no on-chain verification, no cryptographic proof of work attribution, and no enforcement mechanism. Miners trust the operator. Investors trust the operator. Everyone trusts the operator — and nobody can audit them.

For institutional capital, this is disqualifying. It is an unsecured exposure to a single point of failure with no audit trail, no recourse, and no way to verify that rewards reflect actual work performed.

Fixed Hashrate Tokenization

Mining projects with a tokenized hash-rate open the mining industry up to exchange-grade liquidity and allow users to Stake-and-Mine, but they have several flaws, the main one: their tokens are collateralized with a fixed amount of mining power.

That means their mining power is dependent on the circulating supply of the token.

This approach, undeniably increases the selling pressure since it is an **inflationary** approach to the problem.

Investors dillution

From the investors' point of view, the token reward is reduced by each increase in the global hash-rate of the network, which means that in the end, the investor has a less profitable token (it earns lower BTC rewards) as the network grows.

These projects suffer from dilution each time they issue new tokens, since by increasing the circulating supply, they also increase the sell pressure on the token.

Circulating Supply

=

Hash Power

Example

BTCST was a project that allowed users to mine BTC by staking the BTCST token, which was **collateralized with 0.1 TH of mining power per token**, it was launched on Dec 2020 backed by Binance and before “rebasement” it had a Market Cap of \$460 millions.

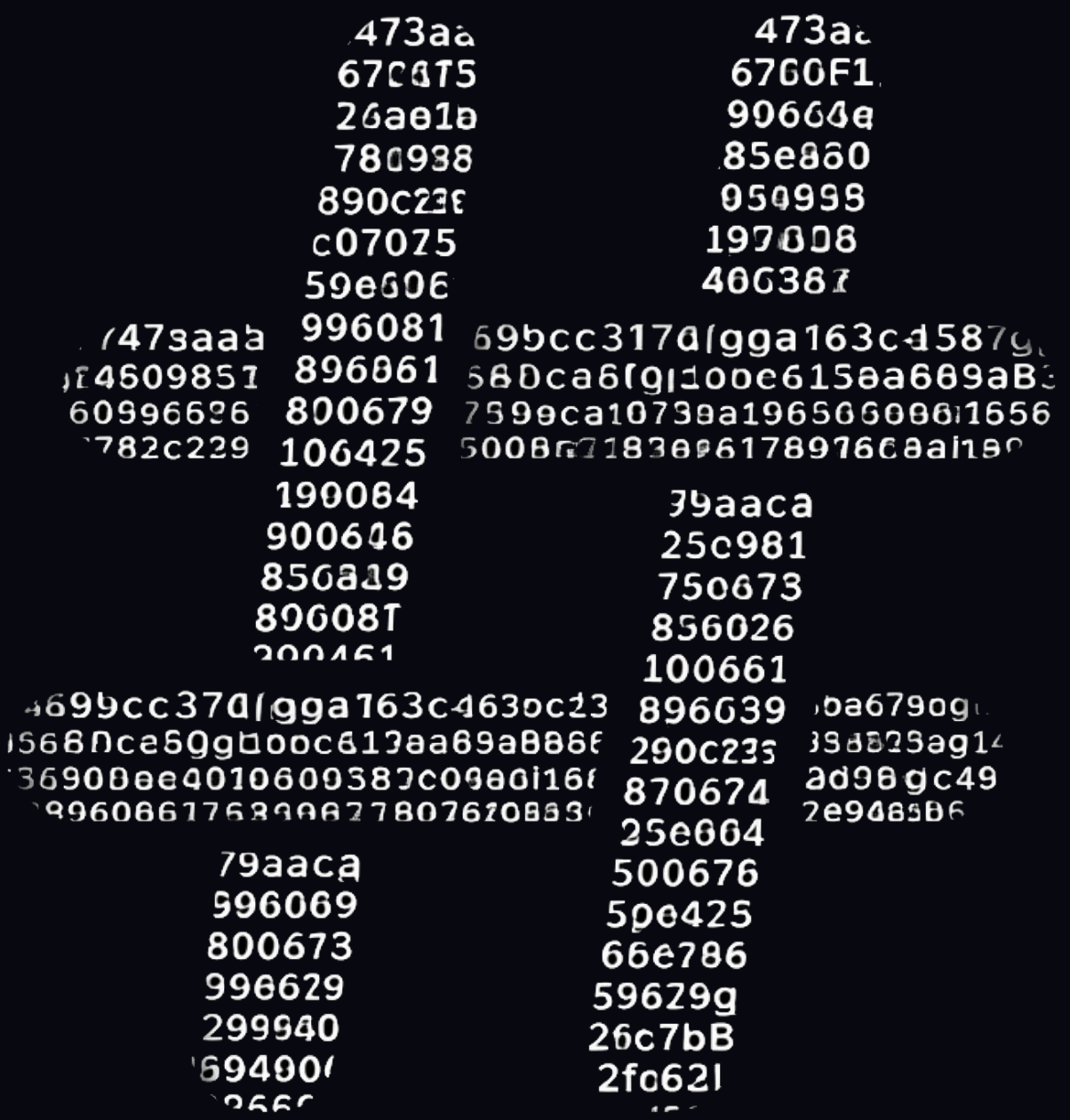
1D • BINANCE

In March a “rebase function” was called on the BTCST token, increasing its circulation supply and dumping its price **from \$440 USD to \$120 USD (87.38%) in a day**.

Each time new mining power is added to the BTCST protocol, they increase the number of BTCST tokens in circulation, which inevitably increases the **sell pressure**.



Solution



Dynamic Hashrate Tokenization

m1n3 introduces the first permissionless hashrate market. Miners verify their contribution on-chain via SHA-256 proof-of-work, and receive tokens proportional to their difficulty share, and trade them freely — giving every token holder a direct, enforceable claim on Bitcoin mining rewards.

Use Cases

For Miners

- **Cost reduction at scale** — commercial miners above 5.8 PH/s pay less than any traditional pool, permanently
- **Liquidity on locked capital** — instead of waiting for block rewards, miners can sell verified PoW positions immediately, turning future earnings into present cash
- **Hedging** — miners can lock in today's hash price by selling forward positions, protecting against BTC price drops or difficulty spikes
- **Working capital** — verified shares as collateral for loans, without selling BTC

For the Bitcoin Ecosystem

- **Decentralized pool alternative** — no single operator controlling block template construction, reducing censorship risk
- **Price discovery for hashrate** — the first real open market for hash price, making mining economics transparent and tradeable
- **Permissionless mining participation** — anyone can buy into hashrate, democratizing access to mining rewards.

For Institutions

- **Guaranteed hashrate contracts** — the private/contracted market tier lets institutions lock in hashrate at agreed terms, think sovereign wealth funds, ETF issuers, or large treasuries that want predictable BTC accumulation
- **Synthetic mining exposure** — regulatory-friendly way to get mining economics without the operational complexity of running datacenters

For Investors

- **Bitcoin exposure without hardware** — buy verified hashrate positions on the open market, earn BTC rewards without running a single machine
- **Hashrate as a traded asset class** — speculate on hash price movements the same way you'd trade oil futures or energy contracts
- **Portfolio diversification** — uncorrelated exposure to Bitcoin mining economics, not just BTC price

m1n3 Revenue Generation

8

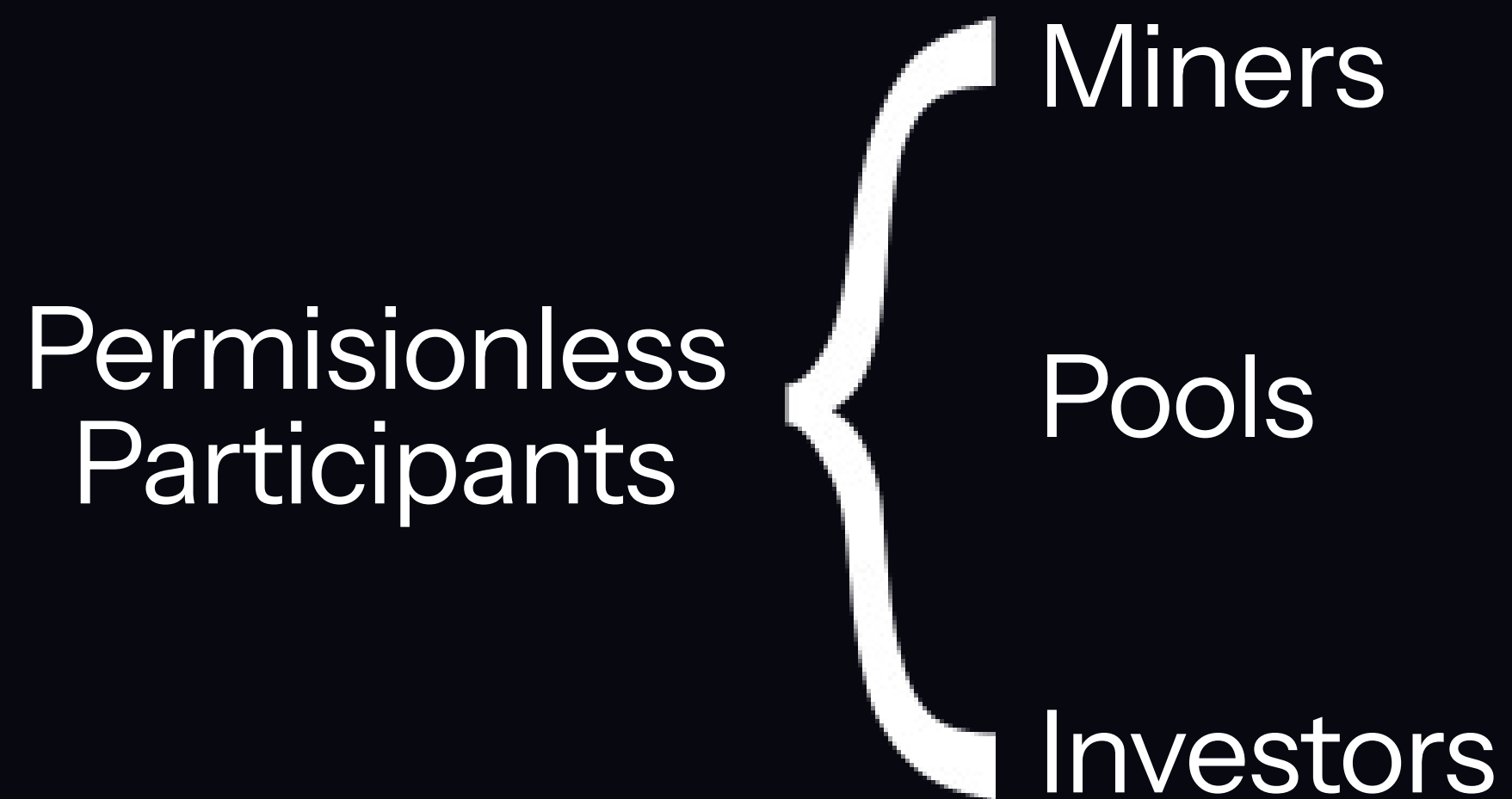
m1n3 charges no pool fee. Instead, miners pay only the on-chain cost of submitting verified shares — a fixed, transparent cost that scales with work submitted, not with BTC earned.

For miners above a modest threshold, this is already cheaper than a traditional 2% pool fee.

Revenue is generated at the market layer: a 0.5% protocol fee on all PoW contribution trades.

Every time a verified share position changes hands, m1n3 earns. The more liquid the hashrate market becomes, the more the protocol earns — aligning protocol incentives with market growth, not miner extraction.

Who Can Join m1n3?



Any current miner, whether institutional or retail, can join the protocol seamlessly just by allocating the mining power to our decentralized pool, no need for hardware reallocation or changes in their current scheme.

There is no limit in the amount of mining power that can be added, so institutional miners can open their doors to speculators.

Investors simply place a buy order and wait for it to fill.

Open Mining

Spot / On Demand

Anyone can post a buy order, get filled with raw hashrate, no duration commitment. Think of it like a spot market — you get what's available now, at market rate. Permissionless, variable, real-time.

Private Mining

Contracted / Fixed-Term

Investors commit capital in exchange for a guaranteed hashrate allocation over a defined period. More like a forward contract or a subscription — predictable inputs, predictable outputs. This is what institutions want: underwritable exposure with no operational surprise.